The FII/DII Playbook — How Institutions Actually Trade Indian Markets

A roleplay-as-institutional-desk reference. Use this to inform your AI trading agent's "view of the world," not as a literal copy-this-strategy guide. Retail can't replicate FII economics — but understanding institutional behavior is genuinely useful, because institutions move the tape and retail trades the wake.

First, the unspoken truth: FII ≠ DII

These are two very different animals, and lumping them together is the first mistake.

FII (Foreign Institutional Investor / FPI) — Pension funds, sovereign wealth funds, hedge funds, ETF issuers domiciled abroad. Decisions are macro-driven and benchmarked to MSCI EM, MSCI India, or absolute USD returns. They are price-takers on rupee strength, US 10-year yields, and the "EM risk-on / risk-off" switch. They use derivatives aggressively. They are the marginal seller in a panic and the marginal buyer in a global risk rally.

DII (Domestic Institutional Investor) — Mutual funds, insurance (LIC dominates), pension funds (EPFO, NPS), banks. Their flows are largely **mechanical**: SIPs come in monthly whether the market is up or down, insurance premiums must be deployed, pension contributions must be invested. They are structurally net buyers and tend to absorb FII selling on dips. Their derivative usage is far lower; mostly long-only cash equity.

If you remember nothing else: **FII flow is sentiment, DII flow is plumbing.** The interplay between them is the dominant short-term driver of NIFTY when there's no major earnings or policy event.

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1. Strategies — what I'd actually run

As an FII

Macro overlay first. Every position is sized off a top-down view: USD/INR direction, US real yields, China credit impulse, crude, FOMC dot plots, RBI MPC stance. India is a long-duration, high-beta, current-account-deficit story. When global liquidity tightens, we sell India before we sell the US. When EM is in vogue, we add India aggressively.

Sector rotation expressed through baskets. I don't pick one stock; I express "Indian financials" via HDFC Bank + ICICI Bank + Axis + SBI + Kotak, weighted by liquidity and our conviction. Same with IT (TCS + Infy + HCLT + Wipro). Single-stock idiosyncratic risk is for the hedge fund desk, not the long-only book.

Pairs and relative value. Long ICICI / Short HDFC Bank when we think the valuation gap is mean-reverting. Long Reliance / Short NIFTY when we want oil-to-chemicals exposure without market beta. Pairs are cheap to express via futures.

Hedging via index derivatives. Cash book is unhedged in normal regimes. When VIX rises, when there's a US payroll print, an MPC meeting, an election event — we buy NIFTY puts or sell NIFTY futures against the book. Cost is bookable as insurance.

Tactical event positioning. Budget, GST council, RBI policy, US Fed, India quarterly results — each gets a pre-defined playbook. Often expressed as straddles or strangles on the index in the week before.

As a DII (mutual fund)

Steady accumulation. I receive ~₹15,000–25,000 crore in net SIP inflows every month across the industry. That money has to find homes. I don't time entries; I deploy in disciplined tranches against my model portfolio weights.

Style box discipline. Each fund has a mandate (large-cap, mid-cap, flexi-cap, sectoral). I cannot drift. So I buy the "best of what fits" within my universe even if the broader market is overvalued — because my unitholders chose this style.

Counter-cyclical to FII. When FIIs are dumping ₹3,000 cr/day, my SIP money keeps coming. So I'm the bid. This is why every "FII sells, DII buys" headline you see is structural, not heroic.

Bottom-up stock picking. Unlike FIIs (who use baskets), Indian fund managers run higher conviction concentrated portfolios. The top 10 stocks in most large-cap funds account for 50%+ of AUM.

Quarterly portfolio publishing pressure. I know my holdings are public after each month-end. So I avoid embarrassing positions and crowd into "consensus quality" names — which is partly why HDFC Bank, Reliance, Infosys are perpetual core holdings across DII portfolios.

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2. Setups I check before and after every order

Pre-trade (before clicking)

Liquidity profile. What's the 20-day average daily volume (ADV)? My order has to be a small enough percentage of that ADV (typically ≤10–15%) that I don't move the market. If I want to buy ₹500 cr of a stock whose ADV is ₹50 cr, I can't do it in a day. I split across days, weeks, sometimes months.

Impact cost. Exchanges publish impact cost numbers for top stocks. I add this to my expected slippage. For NIFTY 50 names it's tiny (<5 bps). For mid-caps it's 20–50 bps. For small-caps, it can be 1–2%.

Spread + depth. Top-of-book bid-ask, plus the depth at 5 levels. If the book is thin, I switch from market to algo.

Execution algo choice.

- **VWAP** when I want to match the day's volume-weighted average (most common).
- **TWAP** when I expect a steady tape.
- **POV (Percent of Volume)** when I want to be opportunistic — participate at, say, 8% of every print.
- **Implementation Shortfall** when I have an alpha decay concern and need to lean into urgency.
- **Iceberg / hidden orders** to mask size on the order book.

News/event check. Any pending corporate action? Results date? Bulk deal disclosure threshold? Insider trading window?

Compliance/concentration. Is the trade within my fund mandate? Does it breach single-stock or sector concentration limits? Is it in my approved universe?

Borrow availability (for shorts). SLB or futures-only? What's the cost of carry?

Post-trade (after fill)

Transaction Cost Analysis (TCA). Actual fill price vs benchmarks:

- *Arrival price slippage*: how much did the market move against me from the moment I started?
- *VWAP performance*: did I beat or lag the day's VWAP?
- *Closing benchmark*: relevant if I'm tracking an index.

Market impact measurement. Did my order leak? Did I see frontrunning patterns?

Settlement reconciliation. T+1 in cash equity now in India. Confirm contract notes, custody position, FX hedge tickets if applicable.

Compliance reporting. Disclose if I've crossed 5% in a listed entity (SEBI Takeover Code). FPI disclosure thresholds. Bulk deal reporting (>0.5% of equity).

Position monitoring. Update my "what would force me to cut?" levels — stop-loss in alpha-driven positions, rebalance bands in beta positions.

Broker scorecard. Was my execution broker actually delivering or was I getting picked off? Quarterly review feeds into broker wallet share.

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3. Most-used strategies in Indian markets

Roughly in order of capital deployed:

Index-tracking and rebalancing. Passive money in NIFTY 50 / NIFTY Next 50 / NIFTY Bank ETFs is now huge. Every index rebalance (semi-annual for NIFTY, separate for MSCI) creates predictable flow. Specialist desks trade *into* these rebalances days in advance.

VWAP/TWAP execution. Not a "strategy" in the alpha sense, but the dominant *mechanic* by which large orders enter the market. Most institutional volume is algo-driven.

Long-short equity (FIIs and hedge funds). Long a basket of high-quality names, short a basket of low-quality or richly-valued ones. Market-neutral on beta.

Pairs trading. Twin pairs in financials (ICICI/HDFCB, Axis/Kotak), IT (Infy/TCS), autos (M&M/Tata Motors), cement (Ultratech/Shree).

Index arbitrage. Cash-futures basis. When NIFTY futures trade rich or cheap to fair value (spot + cost of carry – dividends), arb desks square the difference.

Calendar spreads in options. Long near-month, short far-month NIFTY/BANKNIFTY options to express vol-term-structure views. Heavy desk activity.

Covered calls and cash-secured puts. DII portfolios sometimes write covered calls on long holdings for premium income. Some PMS desks structure cash-secured puts on names they want to own anyway.

Protective put overlays. Big long-only books buy out-of-the-money NIFTY puts as portfolio insurance, especially before macro events.

Factor and quant strategies. Value, momentum, quality, low-vol, size. NIFTY200 Momentum 30 and NIFTY100 Quality 30 indices are themselves now traded. Institutional quants run their own enhanced versions.

Event-driven. Earnings, M&A, special situations (demergers, buybacks, OFS, QIPs). The QIP allotment game alone is a meaningful institutional sub-strategy.

Block deals. Pre-arranged bulk trades during the 8:45–9:00 AM and 2:05–2:20 PM windows. How large positions actually change hands without disturbing the continuous order book.

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4. Most-traded stocks and options

Cash equity (heaviest institutional flow)

The names that show up week after week in FII/DII activity, because they're the most liquid and constitute the bulk of index weight:

- **Reliance Industries** — the single largest weight, oil-to-chemicals + Jio + retail
- **HDFC Bank, ICICI Bank, Axis Bank, SBI, Kotak Mahindra Bank —** financials complex
- **Infosys, TCS, HCL Tech, Wipro** — IT complex
- **Bharti Airtel** — telecom
- **ITC, Hindustan Unilever** — staples
- **Larsen & Toubro** — cap goods / infra proxy
- **Bajaj Finance, Bajaj Finserv** — NBFC
- **Maruti Suzuki, Tata Motors, M&M** — autos
- **Asian Paints, UltraTech Cement** — discretionary / building materials
- **Sun Pharma, Dr Reddy's, Cipla —** pharma

These are the ~25 stocks where >70% of FII/DII cash market action concentrates. If you're building an AI agent that mirrors institutional behavior, this is the universe to focus on first.

Index options (highest derivative volumes)

NIFTY and BANKNIFTY options on NSE have been among the highest-volume contracts globally. The retail+prop+institutional volume in weekly index options is enormous.

- **NIFTY weekly options** — Thursday expiry historically (verify current expiry day with NSE — SEBI revised the F&O expiry calendar in 2024–25).
- **BANKNIFTY options** — historically the most heavily traded; SEBI has been rationalizing weekly expiries, so the current setup may have shifted to monthly-only. Check NSE before assuming.
- **FINNIFTY, MIDCPNIFTY, SENSEX, BANKEX** — additional index options, varying liquidity.

Heads-up: SEBI in late 2024 / 2025 tightened F&O rules — higher lot sizes (~₹15–20 lakh contract value floor), fewer weekly expiries, upfront premium collection from buyers, and intraday position monitoring. The retail-friendly cheap-lottery-ticket weekly options ecosystem has been deliberately squeezed. Verify current lot sizes and expiry calendar before designing any options-based agent logic.

Single-stock options (where they're liquid)

Reliance, HDFC Bank, ICICI Bank, Tata Motors, Adani Enterprises, Bajaj Finance — these have meaningful options volume. Most other stock options are far thinner; treat their quoted prices with caution.

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5. How I'd plan an intraday session as an institutional desk

This is the rhythm. Times are IST.

05:30–07:00 — Pre-open intelligence gathering

- US close (S&P, Nasdaq, Dow). VIX print.
- SGX Nifty / GIFT Nifty current quote — strongest single overnight predictor of NIFTY open.
- Asian markets: Nikkei, Hang Seng, Kospi opens.
- USD/INR overnight non-deliverable forward (NDF) print.
- Crude (Brent), gold, US 10-year yield.
- Overnight news: any results announcements (after-hours yesterday or today's pre-open), MCA filings, RBI press releases, global macro releases (US CPI, payrolls, FOMC minutes).
- FII/DII provisional cash flow from previous session (published by NSE around 6 PM the prior day).

08:00–08:45 — Desk meeting

- PM's view for the day. Risk-on / risk-off / fade-the-open.

- Adjustments to running positions.
- Limits and shopping list for the day.
- Hedge review: do existing puts/futures shorts cover today's risk?

08:45–09:00 — Block deal window

- If pre-arranged crosses are scheduled, execute now.

09:00–09:08 — Pre-open session

- Observe order entry. Indicative open price prints continuously.
- Calibrate algo start parameters.

09:15–09:30 — First 15 minutes: observe, don't lead

- Highest volatility of the day. Spreads wide. Algo execution typically waits.
- Watch where heavyweights open (Reliance, HDFC Bank, Infy) — they set the tone.
- Validate or invalidate overnight thesis.

09:30–11:00 — Main execution window #1

- Highest natural volume. Best VWAP execution.
- Sector themes play out as institutional orders hit.
- Most of the day's directional move often happens here.

11:00–13:00 — Lunch lull

- Volume drops sharply. Spreads can widen on second-tier names.
- Smaller, more passive orders only. Avoid market orders.
- Good time for desk research, position reviews.

13:00–14:30 — Execution window #2

- Volume rebuilds, especially in F&O.
- Adjust intraday hedges. Roll near-expiry positions if it's expiry week.

14:30–15:20 — Closing positioning

- Aggressive players square or extend into the close.
- Watch for "marking the close" patterns — algos pushing stocks toward favorable closing prints (especially around month-end / index rebalance dates).

15:20–15:30 — Pre-close + closing auction

- Closing auction sets the official closing price used by indices and benchmarks.
- Large index funds and benchmark-tracking flow concentrates here.

15:40–16:00 — Post-close debrief

- TCA report. FII/DII flows published. Open interest changes.
- Brief review of what worked and what didn't.

16:00 onwards — Tomorrow's prep

- Result calendar. Macro releases. Global setup.
- Update overnight risk: hedges in place? Stops reconfirmed?

What this means for your AI agent

This is where the roleplay gets useful. The agent you're building can't *be* an FII, but it can **read the market like one**:

- **Track FII/DII daily flow as a primary signal.** When FIIs sell 5 sessions in a row and DIIs buy, the market is in a structural battle that retail should respect, not fight.
- **Map the agent's universe to the institutional universe.** Focus on the ~25–50 most liquid names. Avoid being clever in illiquid mid/small caps where slippage eats your edge.
- **Time the agent to the institutional rhythm.** Don't enter in the first 15 minutes. Don't trust prices in the lunch lull. Respect the closing auction.
- **Use options the way institutions do.** As hedges and structured exposures, not lottery tickets.
- **Watch open interest, not just price.** When NIFTY rises with OI rising, it's fresh long buildup (bullish). When it rises with OI falling, it's short covering (less reliable). The agent should be checking OI change at strike levels for index options every session.
- **Respect events.** Have the agent check the RBI calendar, the Fed calendar, monthly auto sales dates, the F&O expiry calendar, and pull positions ahead of them.

The honest caveats

A few things I should be straight about, since you might pipe parts of this into a live agent:

I'm playing a role — I'm not actually managing institutional flow. The behaviors described are how those desks generally operate based on widely-published market microstructure research, exchange data, and broker-published frameworks. Real desks differ in detail.

Some specifics in here have a shelf life: F&O expiry days, lot sizes, FPI tax rules, STT rates, and SEBI margin rules have been changing actively through 2024–2026. **Verify current rules with NSE / SEBI before encoding any of this into the agent's logic.**

Retail cannot copy FII strategies one-for-one. You don't have prime broker financing, you don't have algo execution at sub-millisecond latency, your slippage profile is worse, and your information arrival is later. Understanding institutional behavior helps you trade *with* the flow or *avoid* fighting it — it does not let you *be* the flow.

The "intraday trading plan" structure above is the institutional rhythm. A retail intraday trader can mirror the *timing* (don't trade the first 15 min, respect the lunch lull, watch the close) without trying to mirror the *capital intensity*.

Use this as a system-prompt addendum or a research document for the agent. If you want, I can next: (a) condense this into a 1-page "market microstructure rules" block for the agent's system prompt, (b) build a Python script that pulls daily FII/DII data and feeds it to the agent as context, or (c) write an intraday session-tracking template the agent fills out each morning.